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HSBC Holdings | Asia Pacific

Live at EFC 2026

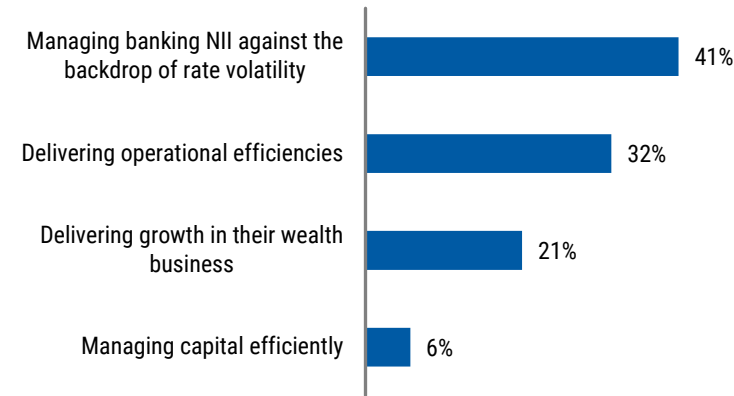
We hosted Pam Kaur, HSBC's Group CFO, at Morgan Stanley's 22nd European Financials Conference.

Tone: #constructive

HSBC reiterated its long-standing commitment to the **Middle East**, where it has operated for over 130 years, and continues to view the region as a long term growth market. The group's largest exposure is via HSBC Middle East Bank, primarily Dubai, which contributes around US\$1bn to group PBT, and Saudi Awwal Bank, which contributes approximately US\$700mn, thus in total ~5% of group PBT, while loans in the region account for around 2% of the group total. Despite elevated geopolitical risks, management remains comfortable with full year guidance, noting that any impact will depend on the duration of the conflict. Typically, management would change ECL probabilities and build reserves if required. When they saw a similar shock at the beginning of the Russia/Ukraine conflict, they built a management overlay of US\$250m, writing it back later.

From a balance sheet perspective, HSBC sees potential RWA pressure from credit rating changes, but it is not seeing material drawdowns linked to Middle East stress scenarios. Any softer loan growth is already embedded in guidance. Recent moves in US\$ and £ yield curves are tailwinds to banking NII, and deposit inflows positive. Management remains comfortable with revenue momentum and the ECL outlook as of now.

Exhibit 1: Conference Feedback: What do you see as the most important area for HSBC management to focus on to achieve a "better than 17% RoTE"



Source: Morgan Stanley Research (based on a straw poll of participants attending the session)

Our most recent research on HSBC:

HSBC: 4Q25: 10% beat vs. consensus, 3 year RoTE target of 17%, or better (25 Feb 2026)

UK/Asian Banks: 4Q25 Preview: New Targets Provide Further Upside (13 Jan 2026)

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HSBC Holdings (0005.HK, 5 HK)

Hong Kong Financials | Hong Kong

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$149.00
Up/downside to price target (%)	16
Shr price, close (Mar 18, 2026)	HK\$127.90
52-Week Range	HK\$148.00-70.05
Sh out, dil, curr (mn)	17,294
Mkt cap, curr (mn)	US\$282,602
Avg daily trading value (mn)	HK\$1,868

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US\$)**	1.55	1.71	1.84	2.03
Prior EPS (US\$)**	-	-	-	-
EPS (US\$)§	1.42	1.63	1.76	1.98
ModelWare net inc (US \$ mn)	27,228	29,150	30,499	32,227
P/E	10.1	9.6	8.9	8.0
P/BV	1.4	1.3	1.3	1.2
ROE (%)	14.7	14.7	14.9	15.4
Tang BV (US\$ bn)	165	171	176	180
P/tang BV	1.6	1.6	1.5	1.4
Core tier 1 capital ratio, Basel 3 (%)	14.9	14.2	14.3	14.5
RWA, Basel 3 (US\$ bn)	889	901	926	944

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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On **private credit**, management noted that definitions vary widely, but under a conservative definition, private credit exposure represents less than 2% of the loan book (below US\$20bn), within which secondary exposure via third party structures is limited to single digit billions. HSBC remains comfortable with the quality and diversification of the book and again sees no reason to change ECL guidance.

Looking to the **medium term**, management expects all four core businesses to grow, and in 4Q25 all four delivered mid teens or better RoTE. HSBC has a strong position in wealth across multiple geographies where there is a growing middle class. It is also across the wealth continuum and can get leads from CIB. HK backdrop is positive, and in the UK loan growth has been running ahead of GDP, although sentiment has softened more recently, prompting a more cautious, wait and see stance.

Hang Seng Bank synergy delivery remains on track, with growth supported by cross-selling HSBC product to Hang Seng customers and deepening their cross-border access, plus synergies from tech harmonisation, operational efficiencies in asset management and insurance, and capital efficiencies. The group is also investing in upskilling staff to enhance customer service.

Cost management remains focused on delivering 17%+ RoTE, with managing costs identified as a key driver. HSBC is increasingly shifting spending from “run the bank” to “change the bank” initiatives, using operating leverage to maintain a healthy cost income ratio.

Finally, management highlighted **technology and AI** as important enablers of both cost efficiency and revenue growth; they have c.85% take-up of the productivity suite rolled out to staff. Digital initiatives such as tokenised deposits are already live in several regions. Roll-out of stablecoins will only be in core markets where they have confidence in the regulatory framework.

HSBC is trading on 9.7x P/E, 1.6x P/TBV for 18.1% RoTE in 2028e. We are Equal-weight in Europe and Overweight in Asia.

Valuation Methodology and Risks

HSBC Holdings (0005.HK)

Our PT is based on a probability weighted methodology (bull 30%, base 65%, bear 5%, based upon likelihood of different macro outcomes). Scenario values are based on a 3-stage Gordon Growth Model adding the NPV of 5 year forecast dividends to the NPV of 10 year implied dividends during a fade period and a terminal book value. We assume a CoE of 10% and terminal growth rate of 2.5%.

Risks to Upside

- Delivery of sustained positive cost:income jaws
- Stronger than expected wealth growth
- Rates higher than expected
- More capital returns if the group decides it can move to <14% CET1 ratio in longer term

Risks to Downside

- Slower than expected developed market growth drives increased credit risk
- China macro risks resurface
- Heightened geopolitical and tariff tensions
- Rates fall by more than expected

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(as of February 28, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1528	41%	444	49%	29%	690	42%
Equal-weight/Hold	1590	43%	374	41%	24%	725	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	588	16%	87	10%	15%	220	13%
Total	3,710		906			1636	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

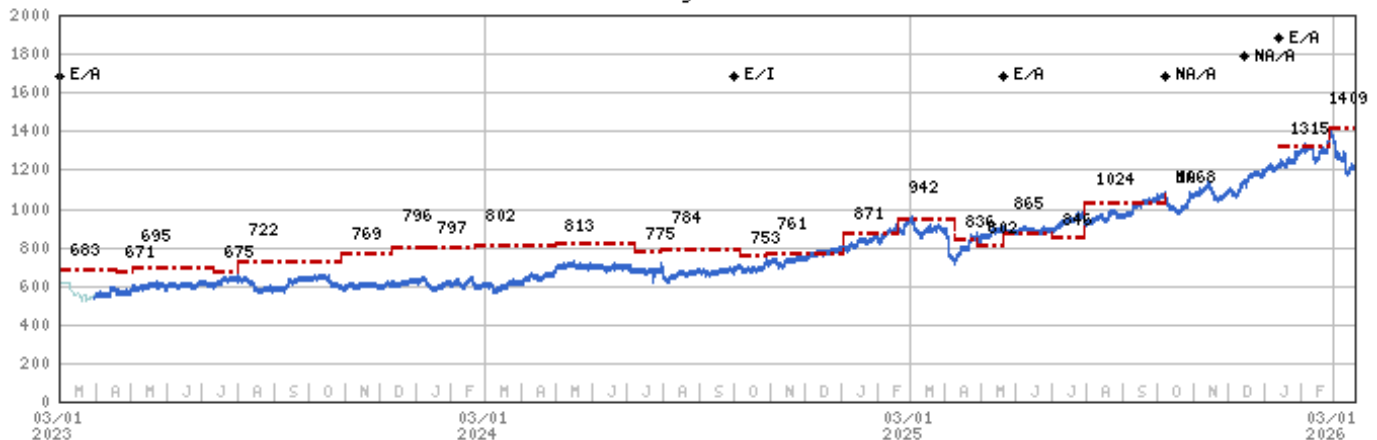
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)

HSBC (HSBA.L) - As of 03/19/26 GMT in GBp
Industry : Banks



Stock Rating History: 3/1/21 : E/A; 5/17/22 : E/I; 9/15/22 : E/A; 10/1/24 : E/I; 5/21/25 : E/A; 10/8/25 : NA/A; 12/14/25 : NA/A; 1/13/26 : E/A

Price Target History: 2/24/21 : 430; 8/4/21 : 450; 10/25/21 : 460; 12/2/21 : 484; 1/16/22 : 518; 2/16/22 : 543; 2/22/22 : 551; 4/26/22 : 590; 7/5/22 : 624; 8/1/22 : 641; 10/17/22 : 690; 2/21/23 : 683; 4/18/23 : 671; 5/2/23 : 695; 7/11/23 : 675; 8/1/23 : 722; 10/30/23 : 769; 12/12/23 : 796; 1/11/24 : 797; 2/21/24 : 802; 4/30/24 : 813; 7/8/24 : 775; 7/31/24 : 784; 10/7/24 : 753; 10/29/24 : 761; 1/4/25 : 871; 2/19/25 : 942; 4/9/25 : 836; 4/29/25 : 802; 5/21/25 : 865; 7/2/25 : 846; 7/30/25 : 1024; 10/7/25 : 1068; 10/8/25 : NA; 1/13/26 : 1315; 2/25/26 : 1409

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

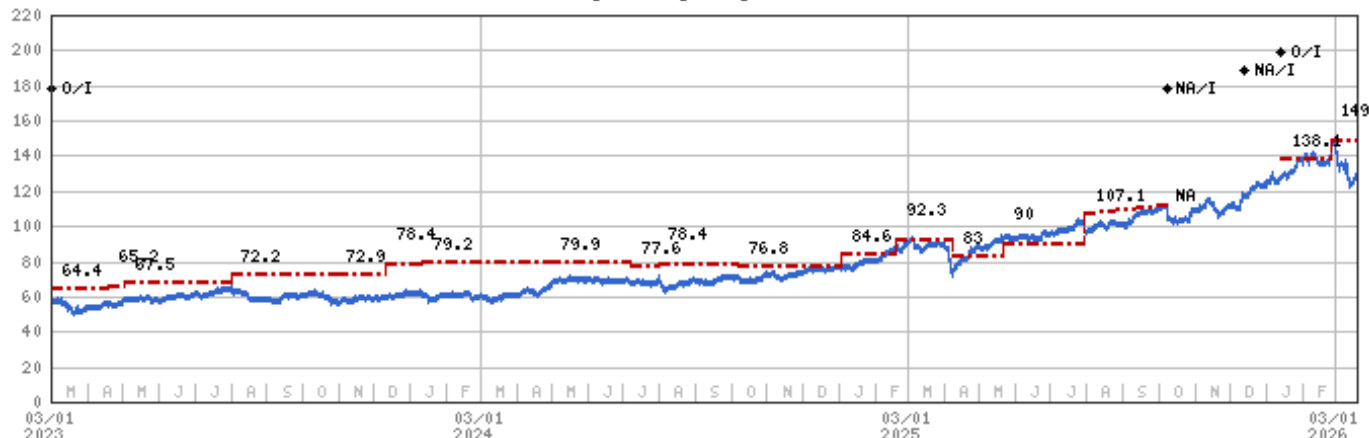
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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HSBC Holdings (0005.HK) - As of 03/19/26 GMT in HKD
Industry : Hong Kong Financials



Stock Rating History: 3/1/21 : E/C; 10/17/22 : O/I; 10/8/25 : NA/I; 12/14/25 : NA/I; 1/13/26 : O/I

Price Target History: 2/24/21 : 46; 8/5/21 : 48; 10/25/21 : 50; 12/2/21 : 50.4; 1/16/22 : 55.1; 2/16/22 : 58.2; 2/22/22 : 59; 8/1/22 : 61.3; 10/17/22 : 59.8; 2/21/23 : 64.4; 4/18/23 : 65.2; 5/2/23 : 67.5; 8/1/23 : 72.2; 10/30/23 : 72.9; 12/12/23 : 78.4; 1/11/24 : 79.2; 4/30/24 : 79.9; 7/8/24 : 77.6; 7/31/24 : 78.4; 10/7/24 : 76.8; 1/4/25 : 84.6; 2/19/25 : 92.3; 4/9/25 : 83; 5/21/25 : 90; 7/30/25 : 107.1; 10/8/25 : NA; 1/13/26 : 138.1; 2/25/26 : 149

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

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INDUSTRY COVERAGE: Hong Kong Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (03/18/2026)
Nick Lord		
BOC Hong Kong (2388.HK)	U (01/04/2025)	HK\$41.40
HSBC Holdings (0005.HK)	O (01/13/2026)	HK\$127.90
Standard Chartered (2888.HK)	O (10/17/2022)	HK\$166.60
Richard Xu, CFA		
HK Exchanges & Clearing (0388.HK)	O (02/24/2025)	HK\$402.80

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* Historical prices are not split adjusted.

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